



AGRICULTURE



Rural Development & CENSUS, SECC 2011



Ministry of Rural Development
Government of India



Syllabus

Concept of Rural Area, Structure of the Indian Rural Economy- Importance and role of the rural sector in India - Economic, Social and Demographic Characteristics of the Indian rural economy, causes of Rural Backwardness.

Rural population in India; Occupational structure, Farmers, Agricultural Labourers, Artisans, Handicrafts, Traders, Forest dwellers/tribes and others in rural India- Trends of change in rural population and rural workforce; problems and conditions of rural labour; Issues and challenges in Handlooms

Panchayati Raj Institutions – Functions and Working. MGNREGA, NRLM – Aajeevika, Rural Drinking water Programmes, Swachh Bharat, Rural Housing, PURA and other rural development programmes.

Concept of Rural Area

A rural area is an **open swath of land** that has **few homes or other buildings**, and not very many people.

Feature of rural area

- Rural areas are areas which are not towns or cities.
- Communities are smaller in size and sparsely populated. Typical rural areas have a low population density and small settlements. Agricultural areas and areas with forestry typically are described as rural.
- The main occupation is agriculture.
- Their standard of living will be different. The population shows homogeneity of language, culture, customs etc.

In rural areas, because of their unique economic and social dynamics, and relationship to land-based industry such as agriculture, forestry and resource extraction, the economics are very different from cities and can be subject to boom and bust cycles and vulnerability to extreme weather or natural disasters, such as droughts.

Difference between Urban and rural area

BASIS FOR COMPARISON	URBAN	RURAL
Meaning	A settlement where the population is very high and has the features of a built environment, is known as urban.	An area located in the outskirts, is known as rural.
Includes	Cities and towns	Villages and hamlet
Life	Fast and complicated	Simple and relaxed
Environment	Greater isolation from nature.	Direct contact with nature.

Associated with	Non-agricultural work, i.e. trade, commerce or provision of services.	Agriculture and livestock.
Population size	Densely populated	Sparsely populated
Development	Planned settlement exists in urban areas that are developed according to the process of urbanization and industrialization.	Developed randomly, based on availability of natural vegetation and fauna in the area.
Social mobility	Highly intensive	Less intensive
Division of labour	Always present at the time of job allotment.	No such division

Structure of the Indian Rural Economy

It can be divided in to three section

1. Traditional rural economy
2. Rural economy in colonial period
3. Rural economy after independence

Traditional rural economy

Ancient Period: Rural economy in India goes back to the Indus Valley Civilisation (c. 2600- 1500 B.C.). This was an urban civilisation having a wide agricultural base.

1. **Pastoral Economy:** In the beginning of the Rigvedic period (c. 1500-1000 BC) there occurred a complete rupture with the earlier economy.
2. **Agricultural Economy:** During the later Vedic Phase (c. 1000-600 BC) agricultural economy became predominant. Cattle remained the chief movable property of the people.
3. **Introduction of Iron:** Iron-based production in agriculture and crafts became central in the age of the Buddha (c. 600-322 BC). Now, iron ploughshare, socketed axes, knives, razors, sickles and other tools were used for productive purposes. Rice, wheat, barley, millets, pulses, sugarcane and cotton were grown extensively.
4. **State and Agriculture:** State control of agriculture became an important feature of the Mauryan period (c. 322-200 BC). Big farms were established and managed by the state. Slaves and hired labourers belonging to the Shudra Varna were employed in them.
5. **Feudal Relationships** A feudal type of society started emerging during the Gupta period (AD 1300- 600) which gradually got stabilised. Land grants were made by the Gupta emperors, their feudatories and private individuals which created a class of powerful intermediaries between the king and the masses. Grants of land and villages were made to the Brahmins and temples.

Medieval Period: A judicious combination of agriculture and village cotton industries based on agricultural products characterises the medieval rural economy. Production was mainly for local consumption. But a part of the rural produce entered local trade.

Colonial rural economy: The rural economy underwent some important changes during the colonial rule in India. De-industrialisation, new land revenue settlements, like the zamindari, ryotwari and mahalwari systems and commercialisation of agriculture were some of the important features of the rural economy during this period. The measures introduced by the British also caused a considerable strain to the jajmani system.

Rural economy after independence

The policy makers were responding to the dismal agricultural situation in India at that time. This was marked by low productivity, dependence on imported food grains, and the intense poverty of a large section of the rural population. They felt that a major reform in the agrarian structure, and especially in the landholding system and the distribution of land, was necessary if agriculture were to progress.

From the 1950s to the 1970s, a series of land reform laws were passed – at the national level as well as in the states – that were intended to bring about these changes.

Abolition of the Zamindari system

Objective: Its objective was to bring the cultivators into direct relationship with the state through eliminating the intermediary interests of the zamindaris and the chain of subinfeudation.

Benefits:

This measure led to eviction of tenants on a large scale by the zamindaris who claimed major portion of their land as **khudkasht**.

Tenancy abolition and regulation acts

Aim: providing security of tenure, reduction of rent and facilitating acquisition of ownership rights by tenant cultivators.

Benefits

- The tenants got the right to acquire ownership of land they cultivated by paying rent for a limited number of years, say, eight years or ten years.
- A substantial number of tenants acquired security of tenure and ownership of land.

Land Ceiling Acts

Ceilings were imposed on present family landholdings as well as on future acquisitions. The state had to acquire surplus land from the big landowners with due compensation and distribute the same among the marginal peasants, small peasants and landless agricultural labourers.

Consolidation of fragmented landholdings

Once implemented this measure would promote adequate investment of capital and inputs in land and boost efficiency and economy in agriculture.

Transformations in rural society after independence

Several profound transformations in the nature of social relations in rural areas took place in the post-Independence period, especially in those regions that **underwent the Green Revolution**. These included:

- an increase in the use of agricultural labour as cultivation became more intensive;
- a shift from payment in kind (grain) to payment in cash;
- A loosening of traditional bonds or hereditary relationships between farmers or landowners and agricultural workers (known as bonded labour) and the rise of a class of 'free' wage labourers.

Cause of rural backwardness and its remedies

Rural development is a comprehensive term. It essentially focuses on action for the development of areas that are lagging behind in the overall development of the village economy.

Some of the areas which are challenging and need fresh initiatives for development in rural India include

- 1. Development of human resources including** – literacy, more specifically, female literacy, education and skill development – health, addressing both sanitation and public health
- 2. Land reforms.**
- 3. Development of the productive resources of each locality**
- 4. Infrastructure** development like electricity, irrigation, credit, marketing, transport facilities including construction of village roads and feeder roads to nearby highways, facilities for agriculture research and extension, and information dissemination.
- 5. Special measures for alleviation** of poverty and bringing about significant improvement in the living conditions of the weaker sections of the population emphasising access to productive employment opportunities All this means that people engaged in farm and non-farm activities in rural areas have to be provided with various means that help them increase the productivity. They also need to be given opportunities to diversify into various non-farm productive.

Key initiative of the government for upliftment of rural area

Kindly read schemes of Ministry of rural development, Panchayati raj etc

Rural Development:

In October 1974, the Department of Rural Development came into existence as a part of Ministry of Food and Agriculture. On 18th August 1979, the Department of Rural Development was elevated to the status of a new Ministry of Rural Reconstruction. It was renamed as Ministry of Rural Development on 23rd January 1982.

In March 1995, the Ministry was renamed as the Ministry of Rural Areas and Employment with three departments namely Department of Rural Employment and Poverty Alleviation, Rural Development and Wasteland Development. Again, in 1999 Ministry of Rural Areas and Employment was renamed as Ministry of Rural Development.

Rural Development is a process which aims at improving the well being and self-realisation of people living outside the urbanized areas through collective process.

Community: is a group of people who live in a geographical area and have an interest in each other for the purpose of making a living.

Development: connotes growth or maturation. It implies gradual and sequential phases of change. It refers to the upward or increasing differentiation.

Community Development: It is a movement designed to promote better living for the community with the active participation and/or the initiative at the community.

Community Development Programme: One of the initial moving forces for launching the Community Development Programme in India was First Prime Minister, Pt. Jawaharlal Nehru.

The central objectives of India's first planned programme of community development were to secure the total development of the material and human resources of rural areas and to develop local leadership and selfgoverning institutions.

The CDP was launched on 2nd October 1952 on the birth anniversary of Father of Nation, Mahatma Gandhi in the country with active cooperation of Ford Foundation, USA. It was intended to be the first step in a programme of intensive development which was expected to cover the entire country over a period of time.

Land Reforms: Government of India appointed a committee named as Kumarappan committee headed by Kumarappan in 1949 to initiate the land reforms. It was the beginning of land reforms in India. The Kumarappan committee recommended radical institutional reforms and recommended the abolition of Zamindari System.

Rural population in India

India is predominantly a rural country. **As per the 2011 Census, 68.8%** of the country's population and **72.4% of the workforce** reside in **rural areas**.

Population as per Census 2011: 1.21 Billion:

- The population of India as on 1st March 2011, stood at 1.21 Billion having registered a growth of 17.64% over Census 2001 figure.
- Population – 1210.19 million [Males – 623.7 million (51.54%) Females – 586.46 million (48.46%)].

Between 2001 and 2011

- India's **urban population increased by 31.8%** as compared to **12.18% increase in the rural population**.
- Population projections indicate that India will continue to be predominantly rural till 2050, after which, urban population is estimated to overtake rural population

Some facts of rural population in India

- Altogether, 833.5 million persons live in rural area as per Census 2011, which was more than two-third of the total population, while 377.1 million persons live in urban areas. Urban proportion has gone up from 17.3 per cent in 1951 to 31.2 per cent in 2011.
- Nearly 70% of the country's population lives in rural areas where, for the first time since Independence, the overall growth rate of population has sharply declined, according to the latest Census.
- Of the 121 crore Indians, 83.3 crore live in rural areas while 37.7 crore stay in urban areas, said the Census of India's 2011
- The rural-urban distribution is 68.84% and 31.16% respectively
- The level of urbanisation increased from 27.81% in the 2001 Census to 31.16% in the 2011 Census, while the proportion of rural population declined from 72.19% to 68.84%.
- The statistics reveal that while the maximum number of people living in rural areas in a particular state is **15.5 crore in Uttar Pradesh**,
- The data also reflects that **18.62% of the country's rural population lives in Uttar Pradesh** and **13.48% urban population lives in Maharashtra**.

Panchayati Raj Institutions – Functions and Working

The "Ministry of Panchayati Raj was created on 27th May 2004.

Evolution of panchayat raj system in India

Pre British Period

- The Rig Veda, one of India's oldest sacred books and historical sources, mentions village communities across the sub-continent that were self-governing over millennia, serving as the main interface between the predominantly agrarian village economies and the higher authorities.
- *Arthashastra of Kautilya* gives a comprehensive account of the system of village administration prevailing in his time.
- The village was the basic unit of administration in the Vedic period.
- The Vedic polity consisted of two popular assemblies namely the 'sabha' and the 'samiti.' The Samiti enjoyed the powers of electing the King, while the Sabha indulged in Judicial functions.
- During the period of Mughals, Akbar It was autonomous in its own sphere and exercised powers of local taxation, administrative control, justice and punishment.

British Era

From 1870 Viceroy *Lord Mayo's* resolution gave the needed impetus to the development of local institutions.

The real benchmarking of the government policy on decentralization can, however, be attributed to Lord Ripon who, in his famous resolution on local self-government on May 18, 1882, recognized the **twin considerations of local government:**

- (i) Administrative efficiency
- (ii) Political education.

The Royal Commission on Decentralisation (1907) under the chairmanship of **C.E.H. Hobhouse** recognised the importance of panchayats at the village level.

The commission recommended that to associate rural people also to be a part of administration it is necessary to constitute panchayats.

The Montague Chelmsford reforms brought a significant development of village Panchayats in a number of provinces.

D.P.Misra, the then Minister under **Government of India Act 1935**, remarked that the local self – Government bodies are inefficient.

Post-independence Period:

Committees to setup panchayat raj institution in India

Balwant Rai Mehta Committee

The Balwant Rai Mehta Committee was a committee appointed by the Government of India in January 1957 to examine the working of the Community Development Programme (1952) and the National Extension Service (1953) and to suggest measures for their better working.

The committee suggested the following:

- An early establishment of elected local bodies and devolution to them of necessary resources, power and authority.
- Panchayats should have special powers to levy a special tax on land revenues and home taxes, etc.
- Its function should cover the development of agriculture in all the aspects, promotion of cottage and local industries, etc.,
- The body must be constituted for five years by means of indirect elections from the village panchayats.

- Governance in a way that was large enough for efficiency and economy of administration and small enough for sustaining a sense of involvement in Citizens.

Ashok Mehta Committee

With the coming of the Janata Party into power at the Centre in 1977. It was decided to appoint a high-level committee under the chairmanship of Ashok Mehta to examine and suggest measures to strengthen PRIs. The Committee had to evolve an effective decentralised system of development for PRIs.

They made the following recommendations:

- Reservation of seats for the weaker sections
- Two seats for women
- Adequate financial resources for the panchayats
- The requirement of Constitutional sanctions
- To extend people's participation in developmental activities.

The recommendations of these committees were not implemented due to the falloff Janata Government. During 1980's, two important Committees were appointed to look into local governments: GVK Rao Committee in 1985 and Dr L.M. Singhvi Committee in 1986.

G.V.K.Rao Committee

The committee suggested that the PRIs should be assigned the work of monitoring, planning and implementation of varied rural development programmes with a Block Development office.

L.M.Singhvi Committee

- L.M. Singhvi Committee recommended the following.
- Panchayati Raj Institutions should be constitutionally recognized and protected.
- A new chapter in the constitution should be provided to define their powers and functions free and fair election to be conducted through the election commission.
- It also recommended for the appointment of finance commission and all the rural development programmes are entrusted to the Panchayati Raj Institutions by amending schedule VII of the constitution.

The **L.M. Singhvi Committee** recommended a **constitutional status to the PRIs** in 1986. However, the **Sarkaria Commission on Centre-State Relations** (1988) has not forwarded it.

Article 40: It confers the responsibility upon State to take steps to organise Village Panchayats and endow them with such powers and authority as may be necessary to enable them to function as units of self-government. But it does not give guidelines for organising village panchayats.

73RD AND 74TH AMENDMENTS

In 1989, the central government introduced two constitutional amendments.

Aim: Strengthening local governments and ensuring an element of uniformity in their structure and functioning across the country.

Passed in: in 1992,

The 73rd Amendment- It is about rural local governments (which are also known as Panchayati Raj Institutions

74th amendment – It was made the provisions relating to urban local government (**Nagarpalikas**).

These amendments **added two new parts to the Constitution**, namely, added **Part IX titled “The Panchayats”** (added by 73rd Amendment) and **Part IXA titled “The Municipalities”** (added by 74th Amendment).

The 73rd amendment made a provision for the mandatory creation of the Gram Sabha. The Gram Sabha would comprise all the adult members registered as voters in the Panchayat area. Its role and functions are decided by State legislation.

Basic units of democratic system-**Gram Sabhas (villages) and Ward Committees (Municipalities)** comprising all the adult members registered as voters.

Three-tier system of panchayats at village, intermediate block/taluk/mandal and district levels except in States with population is below 20 lakhs (Article 243B).

Seats at all levels to be filled by direct elections **Article 243C (2)**.

Seats reserved for Scheduled Castes (SCs) and Scheduled Tribes (STs) and the chairpersons of the Panchayats at all levels also shall be reserved for SCs and STs in proportion to their population. If the States find it necessary, they can also provide for reservations for the other backward classes (OBCs).

One-third of the total number of seats to be reserved for women.

One third of the seats reserved for SCs and STs.

One-third offices of chairpersons at all levels reserved for women (**Article 243D**).

Uniform five-year term and elections to constitute new bodies to be completed before the expiry of the term.

- In the event of dissolution, elections compulsorily within six months (Article 243E).
- **Independent Election Commission in each State** for superintendence, direction and control of the electoral rolls (Article 243K).
- **Panchayats to prepare plans for economic development** and social justice in respect of subjects as devolved by law to the various levels of Panchayats including the subjects as illustrated in Eleventh Schedule (Article 243G).
- 74th Amendment provides for a **District Planning Committee** to consolidate the plans prepared by Panchayats and Municipalities (Article 243ZD).
- Budgetary allocation from State Governments, share of revenue of certain taxes, collection and retention of the revenue it raises, Central Government programmes and grants, Union Finance Commission grants (Article 243H).
- Establish a **Finance Commission in each State** to determine the principles on the basis of which adequate financial resources would be ensured for panchayats and municipalities (Article 243I).
- The Eleventh Scheduled of the Constitution places as many as 29 functions within the purview of the Panchayati Raj bodies.
- **Areas where Part IX is not applicable:** As per Article 243M of the Constitution, provisions of Part IX of the Constitution are not applicable to:
 - (i) Scheduled Areas and Tribal Areas referred to in Article 244.
 - (ii) The States of Nagaland, Meghalaya and Mizoram.

- (iii) The hill areas in the State of Manipur for which District Councils exist. (In these areas, district councils and various types of village-level bodies are in existence)
- (iv) Panchayats at the district level to the hill areas of the District of Darjeeling in the State of West Bengal.
- (v) Provision of the Article 243D with respect to reservation of seats for Scheduled Castes is not applicable to the State of Arunachal Pradesh.

Governance in Fifth Schedule Areas:

The Fifth Schedule of the Constitution deals with the administration and control of Scheduled Areas as well as of Scheduled Tribes residing in the areas other than the States of Assam, Meghalaya, Tripura and Mizoram. Article 244 of the Constitution makes special provisions for the administration of certain areas called "Scheduled Areas" in States other than Assam, Meghalaya, Tripura and Mizoram.

On the basis of report of Bhuria Committee submitted in 1995, the Parliament enacted "The Provisions of the Panchayats (Extension to the Scheduled Areas) Act, 1996" (PESA), for its applicability to Fifth Schedule Areas and tribal areas as per article 243M (4) (b) of the Constitution.

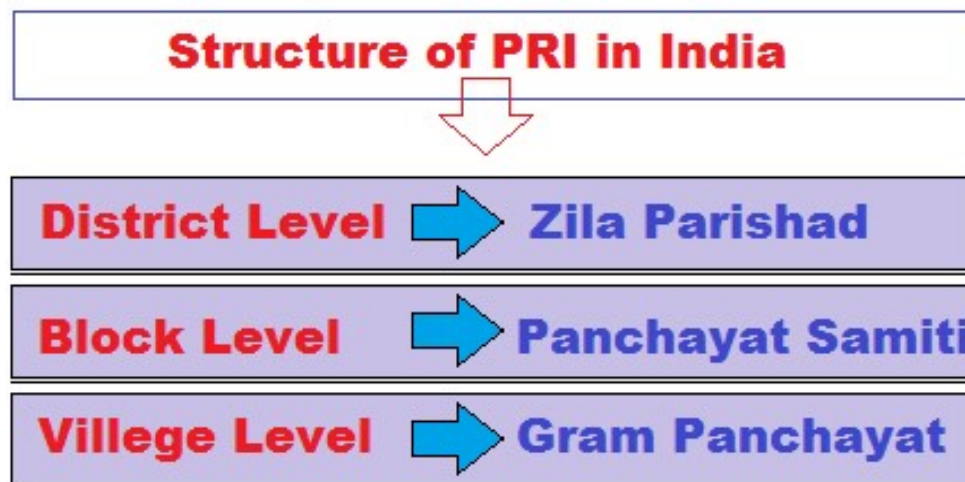
PFSA Act, 1996 extends Part IX of the Constitution with certain modifications and exceptions, to the Fifth Schedule Areas notified under Article 244(1) of the Constitution. At present, Fifth Schedule Areas exist in 10 States viz. Andhra Pradesh, Chhattisgarh, Gujarat, Himachal Pradesh, Jharkhand, Madhya Pradesh, Maharashtra, Odisha, Rajasthan and Telangana.

The Sixth Schedule of the Constitution provides for creation of Autonomous Districts to preserve tribal autonomy and protect the cultural and economic interests of the hill tribes.

73rd Amendment & key changes

Three Tier Structure

All States now have a uniform three tier Panchayati Raj structure



Gram panchayat: - At the base is the 'Gram Panchayat'. A Gram Panchayat covers a village or group of villages.

- The amendment also made a provision for the mandatory creation of the Gram Sabha.
- The Gram Sabha would comprise all the adult members registered as voters in the Panchayat area.
- Its role and functions are decided by State legislation.

Mandal or Taluka Panchayats: - The intermediary level is the Mandal (also referred to as Block or Taluka). These bodies are called Mandal or Taluka Panchayats. The intermediary level body need **not be constituted in smaller States**.

Zilla Panchayat: At the apex is the Zilla Panchayat covering the entire rural area of the District.

Elections

All the three levels of Panchayati Raj institutions are **elected directly by the people**.

Term

- The term of each Panchayat body is five years.
- If the State government dissolves the Panchayat before the end of its **five year term** fresh elections must be held within **six months** of such dissolution.

Reservation

- **One third** of the positions in all panchayat institutions are reserved **for women**. Reservations for **Scheduled Castes and Scheduled Tribes** are also provided for at all the three levels, in proportion to their population.
- If the States find it necessary, they can also provide for reservations for the other **backward classes (OBCs)**.
- These reservations apply not merely to ordinary members in Panchayats but also to the positions of Chairpersons or '**Adhyakshas**' at all the three levels.
- Reservation of **one-third** of the seats for women is not merely in the general category of seats but also **within the seats reserved for Scheduled Castes, Scheduled Tribes and backward castes**.

Transfer of Subjects

- **Twenty-nine subjects**, which were earlier in the State list of subjects, are identified and listed in the **Eleventh Schedule** of the Constitution.
- These subjects are to be transferred to the Panchayati Raj institutions.
- These subjects were mostly linked to development and welfare functions at the local level.
- The actual transfer of these functions depends upon the **State legislation**.
- **Each State decides** how many of these twenty-nine subjects would be transferred to the local bodies.

Powers, authority and responsibilities of Panchayats (Article 243G).

The Legislature of a State may, by law, endow the Panchayats with such powers and authority..... with respect to—.....the matters listed in the **Eleventh Schedule**.

Not applicable: The areas inhabited by the Adivasi populations in many States of India **In 1996**, a separate act was passed extending the provisions of the Panchayat system to these areas.

The idea behind this act is that local traditions of self-government should be protected while introducing modern elected bodies. This is only consistent with the spirit of diversity and decentralisation.

Reason: Many Adivasi communities have their traditional customs of managing common resources such as forests and small water reservoirs, etc.

Purpose: The new act protects the rights of these communities to manage their resources in ways acceptable to them.

Changes

For this purpose, more powers are given to the **Gram Sabhas** of these areas and elected village panchayats have to get the consent of the Gram Sabha in many respects.

State Election Commissioners

The State government is required to appoint a **State Election Commissioner** who would be responsible for **conducting elections to the Panchayati Raj institutions**.

Earlier, this task was performed by the **State administration** which was under the **control of the State government**.

Office of state election commission: The office of the State Election Commissioner is autonomous like the **Election Commissioner of India**. However, the State Election Commissioner is an **independent officer** and is **not linked to nor is** this officer under the control of the **Election Commission of India**.

State Finance Commission

The State government is also required to appoint a **State Finance Commission once in five years**.

Function of state finance commission

- This Commission would examine the financial position of the local governments in the State.
- It would also review the distribution of revenues between the State and local governments on the one hand and between rural and urban local governments on the other.
- This innovation ensures that allocation of funds to the rural local governments will not be a political matter.

SECC 2011: SECC-2011 is a study of socio economic status of rural and urban households and allows ranking of households based on predefined parameters. SECC 2011 has three census components which were conducted by three separate authorities but under the overall coordination of Department of Rural Development in the Government of India. Census in Rural Area has been conducted by the Department of Rural Development (DoRD). Census in Urban areas is under the administrative jurisdiction of the Ministry of Housing and Urban Poverty Alleviation (MoHUPA). Caste Census is under the administrative control of Ministry of Home Affairs: Registrar General of India (RGI) and Census Commissioner of India.

The 1st ever post independence Socio-Economic and Caste Census (SECC) 2011 began on 29 June 2011 from the Sankhola village of Hazemara block in West Tripura District. Government released the results of SECC-2011 in July 2015. SECC-2011 was first caste based census of Independent India. Earlier, caste based data was collected in 1931 Census. It was also SECC-2011 was also India's first paperless Census conducted on handheld devices by the government in 640 districts of the country. Government would use SECC-2011 data in all programmes such as NFSM, MGNREGA, Deen Dayal Upadhyaya Grameen Kaushalya Yojana etc and to identify the beneficiaries of direct benefit transfer (DBT) under the JAM (Jan Dhan-Aadhaar-Mobile) Trinity.

The methodology for conducting the Census in Rural areas is based upon suggestion of **Expert Group chaired by Dr NC Saxena** and a Pilot Study carried out in 29 States/Union Territories, thereafter.

The SECC, 2011 has the following three objectives:

- To enable households to be ranked based on their Socio- Economic status. State Governments can then prepare a list of families living below the poverty line
- To make available authentic information that will enable caste-wise population enumeration of the country
- To make available authentic information regarding the socio economic condition, and education status of various castes and sections of the population

Criteria used in SECC 2011: SECC uses the parameters laid down by the S R Hashim committee appointed by the erstwhile Planning Commission of India i.e., automatic exclusion on the basis of 14 parameters, automatic inclusion on the basis of 5 parameters and grading of deprivation on the basis of seven criteria.

14 parameters of Automatic Exclusion: -

- motorized 2/3/4 wheeler/fishing boat.
- Mechanized 3-4 wheeler agricultural equipment.
- Kisan credit card with credit limit of over Rs. 50,000/-.
- Household member government employee.
- Households with non-agricultural enterprises registered with government.
- Any member of household earning more than Rs. 10,000 per month.
- Paying income tax.
- Paying professional tax.
- 3 or more rooms with pucca walls and roof.
- Owns a refrigerator.
- Owns landline phone.
- Owns more than 2.5 acres of irrigated land with 1 irrigation equipment.
- 5 acres or more of irrigated land for two or more crop season.
- Owning at least 7.5 acres of land or more with at least one irrigation equipment.

5 parameters of Automatic inclusion:

- Households without shelter.
- Destitute, living on alms.
- Manual scavenger families.
- Primitive tribal groups.
- Legally released bonded labour.

Households based on 7 markers of deprivation:

- Households with Kutchha house
- No adult member in working age
- Household headed by female and no working age male member
- Household with handicapped members and no able bodied adult
- Household with no literate over 25 years
- Landless households engaged in manual labour
- SC/ST households.

SECC 2011: Very Important for exam

Key Findings from Rural India

Total Households in the Country (Rural plus Urban)	24.49 Crore
Total Rural Households	17.97 Crore
Total Excluded Households (based on fulfilling any of the 14 parameters of exclusion - i. Motorized 2/3/4 wheeler/fishing boat. ii. Mechanized 3-4 wheeler agricultural equipment. iii. Kisan credit card with credit limit of over Rs. 50,000/-.	7.07 Crore(39.35%)

iv. Household member government employee. v. Households with non-agricultural enterprises registered with government. vi. Any member of household earning more than Rs. 10,000 per month. vii. Paying income tax. viii. Paying professional tax. ix. 3 or more rooms with pucca walls and roof. x. Owns a refrigerator. xi. Owns landline phone. xii. Owns more than 2.5 acres of irrigated land with 1 irrigation equipment. xiii. 5 acres or more of irrigated land for two or more crop season. xiv. Owning at least 7.5 acres of land or more with at least one irrigation equipment.	
Automatically included (based on fulfilling any of the 5 parameters of inclusion - i. Households without shelter. ii. Destitute, living on alms. iii. Manual scavenger families. iv. Primitive tribal groups. v. Legally released bonded labour.	15.95 Lakh (0.89%)
Households considered for deprivation	10.74 Crore
Households not reporting deprivation	2.01 Crore
Households with any one of the 7 deprivation	8.73 Crore
Households with one or less room, kuccha walls and kuccha roof	2.38 Crore (13.28%)
No adult member in household between age 18 and 59	65.33 Lakh (3.64%)
Female headed household with no adult male member between 16 and 59	69.43 Lakh (3.86%)
Households with differently able member with no other able bodied adult member	7.20 Lakh (0.40%)
SC/ST Households	3.87 Crore (21.56%)
Households with no literate adult above age 25 years	4.22 Crore (23.52%)
Landless households deriving a major part of their income from manual labour	5.40 Crore (30.04%)
Rural Population Cultivation	5.41 Crore (30.10%)
Rural Population in Manual Casual labour	9.20 Crore (51.18%)

Rural Population in Part time or full time domestic service	44.87 Lakh (2.50%)
Rural Population in Rag picking, etc.	4.10 Lakh (0.23%)
Rural Population in Non Agricultural own account enterprise	28.88 Lakh (1.61%)
Rural Population in Begging/charity/alms	6.69 Lakh (0.37%)
Rural Population in Others (including government service, private service, PSU employment, etc.	2.51 Crore (13.97%)

II - Deprivation Data**III - Sources of Household income****Key Findings:**

- Out of the 24.4 crore households in India, 17.9 crore live in villages, which is 73.3% of all households in India. Out of these, 10.7 Crore households are deprived.
- Close to 30% rural households are landless and do the manual casual labour for bread winning; 13% live in one room huts (with kacha walls or roof) and 21.56% of them are from SC/ST category. More than half (56.25 %) rural households in India are landless.
- 36% rural people are illiterate in India. This figure was recorded 32% in Census 2011.
- 35% of urban Indian households qualify as poor.
- In nearly 74.5 per cent of the rural households, the main earning family member makes less than Rs 5,000 per month (or Rs 60,000 annually). In just 8% per cent of households does the main earning member makes more than Rs 10,000 per month. 90.3 % of households with out salaried jobs
- India's 0.1% population is comprised of transgender. Highest proportion of transgenders is in Andaman & Nicobar Islands, West Bengal, Gujarat, Odisha and Mizoram.
- The SECC-2011 was NOT conducted under the Census Act 1948, which implies that the information collection was done on self-declaration model of the respondents.

A **household** is usually a group of persons who normally live together and take their meals from a common kitchen/common cooking unless the exigencies of work prevent any of them from doing so. The persons in a household may be related or unrelated or a mix of both. If any female member of a normal household decides or desires to declare herself as a separate household, she is treated as a separate household.

Information related to the following parameters will be collected at the level of the individual and household:

- Occupation
- Education
- Disability
- Religion
- SC/ST Status
- Name of Caste/Tribe
- Income and Employment characteristics
- Main source of income

- Possession of Assets
- Housing/Dwelling Type
- Consumer Durables and Non-Durables
- Land Ownership

Literate: A person aged 7 and above who can both read and write with understanding in any language is to be taken as literate. People who are blind and can read in Braille will be treated as literates.

Age structure: India's age structure is a unique one as it has high proportion of the people under active population or under work force category. At the same time the population structure of the country shows a developing country in transition. As per the 2011 census, 62.5% of the population belongs to the workforce age group of 15-59 years. The dependent population (less than 15 and above 59) is 37.5%. Most importantly, the low age population is 29.5% and this hints that the fertility rate may go up in the coming decades as well.

Table: Age structure of India's population as per census 2011

Age category	Per cent of total population
0-14	29.5
15-59	62.5
60 plus	8.0

Population structure shows that India has nearly two thirds of its population in the workforce group. In the recent future, i.e., by around 2026, the percentage of the workforce in total population will maximize at 66%.

The schemes MGNREGA, NRLM – Aajeevika, Rural Drinking water Programmes, Swachh Bharat, Rural Housing, PURA and other rural development programmes are separately covered in Ministry wise schemes documents .

Issue in Handloom sector

Handloom Sector

The Handloom Sector is one of the largest unorganized economic activities and it constitutes an integral part of the rural and semi-rural livelihood engaging over 35 lakh persons. The sector engages over 25 lakh female weavers and allied workers which makes it an important source of economic empowerment of women.

The sector has advantage of being less capital intensive, **minimal use of power, eco-friendly, and flexibility of small production, openness to innovations and adaptability** to market requirements. It is a natural productive asset and a tradition at the cottage level, which has sustained and grown by transfer of skill from one generation to the other.

Handloom Cloth Production and Export

Handloom weaving is **largely decentralized and the weavers** are mainly from the **vulnerable and weaker sections** of the society, who weave for their household needs and also contribute to the production in the textile sector.

The weavers of this industry are keeping alive the traditional crafts of different States. The level of artistry and intricacy achieved in the handloom fabrics is unparalleled and certain weaves/designs are still beyond the scope of modern machines. Handloom sector can meet every need ranging from the exquisite fabrics, which takes months to weave, to popular items of mass production for daily use.

Handloom Exports is facilitated through organisation/participation in international fairs/exhibitions, big ticket events, Buyer Seller Meets, and Reverse Buyer-Seller Meets, publicity and brand development through India Handloom Brand and Handloom Mark. **Handloom Export Promotion Council** participates in various international fairs with the member handloom exporters to sell their handloom products in the international markets.

HANDLOOM EXPORT PROMOTION COUNCIL

Constituted in: 1965 with 96 members

Present member: 1500 spread all over the country.

Handloom Export Promotion Council (HEPC) is a **nodal agency** constituted under "**The Ministry of Textiles**."

Aim: To promote exports of all handloom products like fabrics, home furnishings, carpets, floor coverings, etc.

Objective: To provide all support and guidance to the Indian Handloom exporters and International buyers for trade promotion and international marketing.

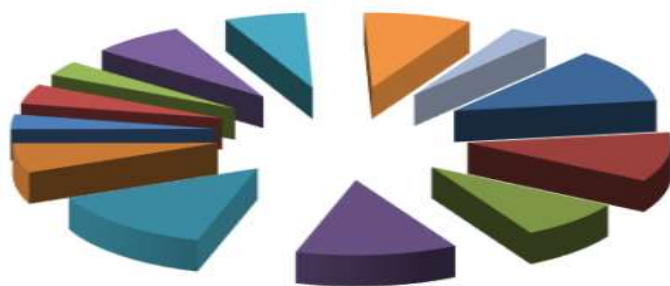
HEPC organizes / participates in International Trade fairs, Buyer Seller Meets in India and abroad & seminars.

Top 5 countries for export of handloom from India

1. U S A
2. U K
3. SPAIN
4. ITALY
5. GERMANY

Problems of Handloom Industry

Problems of Handloom Industry



- Supply of Raw Material
- Prices of Raw material
- Improvement in Design
- Market Facilities to Products
- Investment and Infrastructure
- Patenting designs/varieties
- Free Trade Opportunity
- Cooperative system
- Intermediaries Institutions
- Powerlooms Competition

Supply of Raw Material

Receiving raw material to the industry such as yarn, dyes and dyestuffs has become a problem. Weaving in rural and semi-rural area have to go far to get these raw materials. Production activity and weavers, yarn prices always gradually increasing. As a result, there is a permanent shortage of yarn for the poor weavers. In spite of a few schemes, the yarn access issue has not been resolved.

Prices of Raw material

Handloom mainly uses ordinary fibres such as cotton, silk and jute. A price of these fibres has more fluctuations increasing during production and processing period. Cotton production in India is expensive; it is demanding and high usage of cost agricultural inputs such as pesticides and fertilizers. Secondly, while the raw material production most often happens in the neighbourhood of the weavers, their processing is done in faraway areas, and as such the prices to the weaver are much higher.

Investment and Infrastructure

Investment in handloom industry has been limited to input supply costs. There is no high investment seen on sector growth hence it's a small scale industry. The producer will think on basic requirements of the industry on small level. Providing facilities such as land, water and electricity need to be provided in many places that are a harbour for handloom sector. The power looms can get more usable support from the government in procuring land, water and electricity.

Improvement in Design

Today's pupil expectation on handloom sector should increase its design to change the reputation in market, the bottlenecks are many. The lack of change is mainly because of

the weaver not being amenable to change, as is bandied. Because of the unwillingness of the investor to take risk and provide incentive to weavers for an effective change.

Marketing the Products

Marketing the Handloom products require more visibility. Market network become better and wider but the exhibitions organised with the support of government do not suffice

Patenting varieties

Handloom designs and varieties are not protected. But, investors are not interested lest they end up with high risk and copy the benefits. Protection options included to develop the handloom/ jute marks and registration under Geographical Indications Act.

Free Trade Opportunity

An Agreement made on textile Clothing by the WTO, there is going to be free import and export of textiles. The handloom sector, as a traditional area, can able to claim some special packages or discriminatory measures, to protect this kind of production.

Cooperative system

Many of the cooperative do help in maximising the benefits to poor weavers in the entire chain of production. The handloom cooperative system is with high corruption and more political interference are seen.

Now days, Cooperatives have become independent of district-level officers in terms of management and decision-making.

Intermediaries Institutions

Government has spent lot of money for research, training and input institutions to help the handloom sector. The institutions must include weaver service centers, institutions of handloom technology, NIFT, etc. But their performance has not been developed and their presence has not helped in obviating the problems of handloom weavers.

Budget allocations

Government Allocations for handloom in national and state budgets are being reduced and reversed. Budget has to increase with new schemes that should address the problems of the sector and the need to protect rural employment.

Enhancement of Value

There is a need for enhancing the value of handloom products through utilization of organic cotton and organic yarn, application of natural dyes. Increasing the productivity of the looms through the process of research and innovation, changes in the width of the looms and some appropriate technical changes.

Power looms Competition

Competition is uneven, with mill and power loom sector are getting subsidies in many forms. Secondly, power looms have been undermining handloom markets by selling their products as handloom.

Livelihood Issues

Wages have not increased in the last 15 to 20 years. Socio economic condition of handloom weavers are in very poor standard of living, with no house or assets. The government have to meet at least effectively implement the Minimum Wages Act.

Government scheme for handloom sector (Schemes by Ministry of Textiles):**National Handloom Development Programme (NHDP):**

NHDP has been formulated for its implementation during financial year 2021-22 to 2025-26

The scheme will follow need-based approach for integrated and holistic development of handlooms and welfare of handloom weavers.

The scheme will support weavers, both within and outside the cooperative fold including Self Help Groups etc. towards raw material, design inputs, technology up-gradation, marketing support through exhibitions, create permanent infrastructure in the form of Urban Haats, marketing complexes etc.

Implementing agency (IA):

- IA for components other than Handloom Marketing Assistance:
 - i) Central/State Government Handloom Organizations
 - ii) National/State level Handloom Corporations
 - iii) Apex/Federations/Primary Handloom Weavers' Co-operative Societies.
 - iv) Handloom Producers' Companies.
 - v) Banks as applicable for Concessional Credit/Weaver MUDRA Loan
 - vi) Any other appropriate entity working in handlooms sector recommended by the State Govt. and approved by DC (HL).

Components

A. Small Cluster Development Programme (SCDP): This Programme is to provide need based financial assistance upto Rs. 2.00 crore (GoI share) per cluster to a group having upto 500 handloom workers at one location so that the groups become self-sustainable.

A.3 Funding pattern

- (i) Interventions like Baseline Survey, Diagnostic Study, Formation of Consortium, Awareness Programmes, Product Development, Exposure visit, participation in exhibitions/BSMs/publicity, Documentation of cluster activities, service charges to designated agency, Project Management Cost, Engagement of Textiles Designer, wage compensation to the trainees for skill up-gradation, incentive to IA etc. will be fully funded by GoI, excluding land cost.
- (ii) Interventions benefitting directly individual weavers like Hathkargha Samvardhan Sahayata (Looms & accessories), lighting units will be funded in the ratio of 90:10 by GoI: Beneficiary
- (iii) Individual Workshed- BPL/SC/ST/Women/Transgender/differently-abled –100% by GoI share. Others – 75% by the GoI: 25% beneficiary
- (iv) Common Workshed – 90% by the GoI: 10% beneficiary
- (v) Solar Lighting System for Common Workshed - 90% by the GoI: 10% beneficiary

B. Handloom Marketing Assistance (HMA): To Develop and promote marketing channels in domestic and export markets in a holistic and integrated manner to bring greater visibility to the sector and ensure commensurate remuneration to weavers.

Components of HMA:

1. Domestic Marketing Promotion
2. Handloom Export Promotion
3. Setting up of Urban Haats
4. Marketing Incentive (MI)

Funding:

General States	–	GoI: State Govt./IA - 80:20
NER States, Himachal Pradesh, Uttarakhand,	–	GoI: State Govt./IA - 90:10
UTs of Jammu, Kashmir and Ladakh		

E. Concessional Credit/Weaver MUDRA Scheme:

C. Need based Special Infrastructure Project: Been based Financial assistance up to Rs.12.00 crore (GoI share) is provide to set up project/s for product development/diversification, improving the productivity/ quality of handloom products, value addition of handloom products, marketing etc. to meet challenges of the dynamic market

Funding:

General States	–	GoI: State Govt./IA - 80:20
NER States, Himachal Pradesh, Uttarakhand,	–	GoI: State Govt./IA - 90:10
UTs of Jammu, Kashmir and Ladakh		

E. Concessional Credit/Weaver MUDRA Scheme:

D. Mega Cluster Development Programme: Mega Handloom Clusters in various parts of the country will be taken up for their holistic development, drawing comprehensive development plans. Each Mega Handloom Cluster will cover atleast 10,000 handlooms with GoI contribution upto Rs.30.00 crore per mega cluster. Nature and level of assistance to each Mega Cluster will be need based. Duration of mega handloom cluster project is 5 years.

Funding:

General States	–	GoI: State Govt./IA - 80:20
NER States, Himachal Pradesh, Uttarakhand,	–	GoI: State Govt./IA - 90:10
UTs of Jammu, Kashmir and Ladakh		

E. Concessional Credit/Weaver MUDRA Scheme:

- The scheme aims to provide adequate and timely assistance from the banks to the handloom sector to meet their credit requirements for term loan & working capital in a flexible and costeffective manner across the country.
- Individual Handloom Weaver/Weaver Entrepreneur - Margin Money assistance @20% of loan amount, subject to maximum of Rs.25,000/-
- Handloom organization - Margin money assistance @20% of loan amount, subject to maximum of Rs.20.00 lakh (margin money @Rs.2.00 lakh for every 100 weaver/worker).
- Subsidized loans at concessional interest rate of 6% for a period of three years will be available to eligible handloom organizations only.
- The loans extended to the eligible handloom organizations will be guaranteed by the National Credit Guarantee Trustee Company (NCGTC)/Credit Guarantee Fund Trust for Micro & Small Enterprises (CGTMSE), as per decision of the Bank/Financial Institution concerned. Guarantee cover will be effective from the date of disbursement of loan for 3 years.

F. Handloom Weavers' Welfare:

The scheme aims to provide a universal & affordable Social Security and need based financial assistance to the handloom weavers/workers across the country.

F.2 Components

1. Life, accidental and disability insurance coverage under the PMJJBY, PMSBY and Converged MGBBY.
2. Financial support @Rs. 8,000/- per month per Awardee weaver (Padma/Sant Kabir/National/State) above 60 years of age, in indigent circumstances, having annual income below Rs.1.00 lakh, to be certified by the Competent Authority of State Govt. concerned.
3. Financial support as scholarship upto Rs.2.00 lakh per annum per child to handloom weavers/workers' children for study in Textiles Institutes.

F.2.3 CONVERGED MAHATMA GANDHI BUNKAR BIMA YOJANA (Converged MGBBY)

The Converged MGBBY is an insurance scheme offering life and accidental insurance cover for death or disability for a closed group of handloom weavers/workers. This cover is for a year from 1st June to 31st May and is renewable on year to year basis.

ELIGIBILITY

Handloom weavers/workers in the age group of 51-59 years, who were already enrolled under the MGBBY on 31.05.2017. No new enrolment of weavers in the 51-59 years age group will be done under the scheme. Thus, number of beneficiaries under the MGBBY will get reduced every year.

BENEFITS

Natural Death	Rs.60,000/-
Accidental Death	Rs.1,50,000/-
Total Disability	Rs.1,50,000/-
Partial Disability	Rs.75,000/-

PREMIUM

The annual premium of Rs.470/- will be shared as under:-

Gol share	Rs.290/-
State Govt./Beneficiary's share	Rs.180/-
Total Premium	Rs.470/-

Premium amount of PMJJBY & PMSBY shall be shared in the ratio 5:6 between Government of India (Gol) & State Government/ Beneficiary and same ratio shall be continued, as & when the premium amount is revised.

Yarn Supply Scheme:

The Yarn Supply Scheme (YSS) with partial modification and renamed as Raw Material Supply Scheme (RMSS) has been approved for implementation during period from 2021-22 to 2025-26

Implemented by: National Handloom Development Corporation.

Aim: To make available quality yarn & their blends to the eligible Handloom weavers at subsidized rates.

Transport Subsidy Component: Freight reimbursement for transportation of yarn (All types)

Price Subsidy Component: 15% Price Subsidy on Yarn (through DBT to linked bank account) with quantitative restrictions. 15% price subsidy will be available on cotton hank yarn, domestic silk, woollen and linen yarn and blended yarn of natural fibres with quantity restrictions

India Handloom" Brand- During the celebration of 7th August 2015 as **National Handloom Day**, 'India Handloom' Brand was launched for branding of high-quality handloom products.

Aim: It promotes production of niche handloom products with high quality, authentic traditional designs with zero defect and zero effect on environment.

Initiatives with various leading brands have been undertaken to bring out a separate range of handloom garments in their brand.

Urban haats: These are set up in the big towns/metropolitan cities to provide adequate direct marketing facilities to the craft persons/weavers and eliminate intermediaries.